

28th August, 2015

Mr. Paul Muthaura
The Chief Executive Officer
Capital Markets Authority
NAIROBI

✓ Mr. Geoffrey Odundo
The Chief Executive Officer
Nairobi Securities Exchange Market
NAIROBI

Dear Sirs,

RE: THE STANDARD GROUP LIMITED UNAUDITED GROUP RESULTS FOR THE 6
MONTHS PERIOD ENDED 30TH JUNE, 2015

Reference is made to the aforementioned.

Please find attached herewith The Standard Group Limited Unaudited Group Results for the 6 months period ended 30th June, 2015

Thank you for your continued support and partnership.

Yours Faithfully,



CAROLINE CHERUIYOT
SENIOR LEGAL OFFICER

CC:

Lawrence Kibet
Image Registrars
5th Floor, Barclays Plaza
Loita Street
NAIROBI



The Standard Group Limited

Unaudited Group Results for the 6 months period ended 30 June 2015

The Board of Directors of The Standard Group Limited is pleased to announce the un-audited results for the six month period ended 30 June 2015

Consolidated Statement of Comprehensive Income for the 6 months period ended 30 June 2015

	30-Jun-2015 (Unaudited) Kshs'000	30-Jun-2014 (Unaudited) Kshs'000
Revenue	2,203,064	2,370,593
Total operating Costs	(2,125,695)	(2,105,974)
Finance Costs (net)	(56,009)	(59,480)
Profit before taxation	21,360	205,139
Earnings per share, Basic- Kshs	0.95	2.68
Earnings per share, Diluted- Kshs	0.95	2.68
Dividend per Share - Kshs	-	-

Consolidated Statement of Financial Position as at 30 June 2015

	30-Jun-2015 (Unaudited) Kshs'000	30-Jun-2014 (Unaudited) Kshs'000	31-Dec-2014 Audited Kshs'000
ASSETS			
Non Current Assets	2,617,717	2,546,874	2,610,730
Current Assets	1,575,237	1,624,544	1,491,019
Total Assets	4,192,954	4,171,418	4,101,749
EQUITY AND LIABILITIES			
Capital and Reserves			
Share Capital	408,654	408,654	408,654
Share Premium	39,380	39,380	39,380
Revenue Reserve	1,571,084	1,543,528	1,534,491
Capital Redemption Reserve	102	102	102
	2,019,220	1,991,664	1,982,627
Minority Interest	169,317	201,004	225,416
Total Shareholders Equity	2,188,537	2,192,668	2,208,043
Non Current Liabilities	1,015,917	653,814	670,765
Current Liabilities	988,500	1,324,936	1,222,941
TOTAL EQUITY AND LIABILITIES	4,192,954	4,171,418	4,101,749

GROUP RESULTS

The year started on a rather difficult note with a drop in TV revenues due to the digital migration dispute. The Group revenue declined by 7% over the corresponding prior year period to Kshs 2.2Billion from Kshs 2.37Billion. Print advertising business dropped marginally by 4% over the same period last year while television segment declined by 27% to register Kshs 275 million against Kshs 379million realized in a similar period last year. The Radio business however, recorded a remarkable growth of 116% while digital revenue expanded by 57%.

On the positive side, efforts to manage costs yielded results with direct costs of production reducing by 25% from Kshs 567Million in the first half of 2014 to Kshs 428Million for the first half of 2015. Overheads increased by 13% in the period under review from Kshs 1.12Billion to Kshs 1.26 Billion largely driven by the need to accelerate impairment of analogue equipment rendered obsolete on migration to digital TV transmission and old machinery as a result of investment in business automation, which saw the Group implementing SAP ERP and Media solutions. As such, the Group made a profit before tax of Kshs 21 Million compared to Kshs 205 Million registered in a similar period last year, a decrease of 90%.

The implementation of an SAP ERP and Media solutions is expected to enhance visibility of the business and efficiency in our operations and hence improve our performance going forward.

Outlook for Second Half of the year

The Board is optimistic barring unforeseen factors that the Group will record improved performance in the second half of the year once the benefits of the reorganization and automation exercises start trickling in. The full impact of these initiatives will however crystallize from next year.

Dividend

The Board of Directors does not recommend an interim dividend in the first half of the year 2015.

BY ORDER OF THE BOARD

Lawrence Kibet
Company Secretary
28 August 2015

Condensed Consolidated Cashflow Statement for the 6 months Period ended 30 June 2015

	6 Months ended 30-Jun-2015 Kshs'000	6 Months ended 30-Jun-2014 Kshs'000	12 Months ended 31-Dec-2014 Kshs'000
CASHFLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	169,435	406,226	685,955
Interest Paid	(56,009)	(59,480)	(118,416)
Tax paid	(77,257)	(37,276)	(83,491)
Net cash generated from operating activities	36,169	309,470	484,048
Net cash used in Investing activities	(175,748)	(201,422)	(407,805)
Net cash (used in)/generated from Financing activities	75,683	21,081	(31,986)
NET INCREASE IN CASH AND CASH EQUIVALENTS	(63,896)	129,128	44,257
Cash and cash equivalents at the beginning of the year	(279,332)	(323,589)	(323,589)
Cash and cash equivalents at the end of the period	(343,228)	(194,461)	(279,332)

Consolidated Statement of Changes in Equity for the 6 months period 30 June 2015

	Share Capital Kshs'000	Share Premium Kshs'000	Capital Redemption Reserve Kshs'000	Retained Earnings Kshs'000	Attributable to equity holders of parent Kshs'000	Minority Interest Kshs'000	Shareholders equity Total Kshs'000
As at 1 January 2014	408,654	39,380	102	1,365,487	1,813,623	214,772	2,028,395
Total Comprehensive income/(Loss) for the year	-	-	209,870	209,870	10,644	220,514	(40,866)
Dividend paid	-	-	-	(40,866)	(40,866)	-	(40,866)
At 31 December 2014	408,654	39,380	102	1,534,491	1,982,627	225,416	2,208,043
As at 1 January 2015	408,654	39,380	102	1,534,491	1,982,627	225,416	2,208,043
Total Comprehensive income/(Loss) for first half of the year	-	-	-	77,459	77,459	(56,099)	21,360
Dividend payable	-	-	-	(40,866)	(40,866)	-	(40,866)
At 30 June 2015	408,654	39,380	102	1,571,084	2,019,220	169,317	2,188,537